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02.23.2025 - 03.03.2025

Enterprise Valuation Group

WEEKLY NEWSLETTER

MARKETS | M&A | EVENTS

MIDDLE EAST IN CRISIS, OIL SOARS

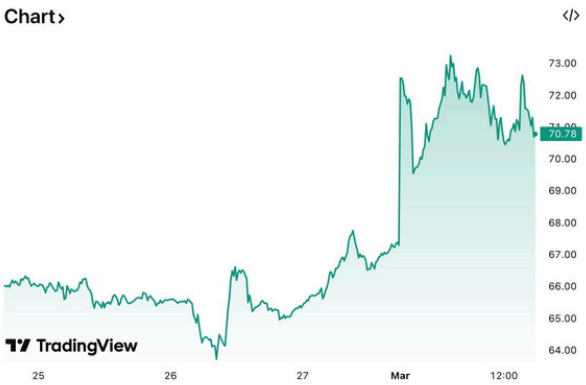
In the early hours of Saturday, February 28th, the United States and Israel launched a joint attack on Iran in an operation the US called “Epic Fury” and Israel called “Roaring Lion”. The strikes targeted key officials, military commanders, and facilities and included the assassination of Iran’s Supreme Leader, Ali Khamenei.

With uncertainty ahead many have already keyed in on the current effects the conflict is having on the Strait of Hormuz. The Strait of Hormuz is a vital waterway on Iran’s southern border to Maritime trade. Approximately 20 million barrels of oil pass through the Strait of Hormuz each day representing 20% of Global Oil Demand. Long term short down of the Strait could have serious consequences to Global Markets with some speculating a long term shut down would lead to a Global Recession.

Before Markets even reopened for the week, analysts were already bracing for a sharp surge. Oil Futures now continue to surge following markets reopening Sunday night.

Crude Oil & Natural Gas

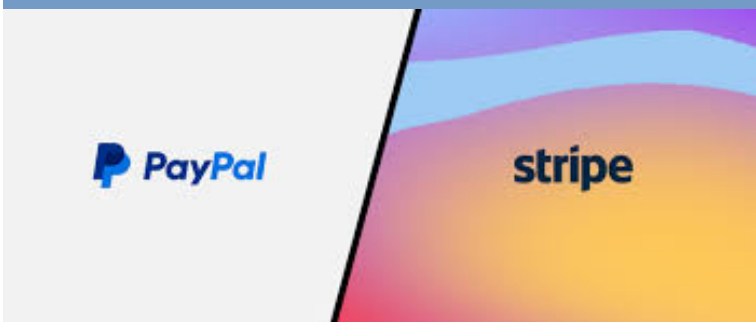
Index	Units	Price	Change	% Change	Contract
CO1:COM Brent Crude (ICE)	USD/bbl.	78.22	▲5.33	▲7.31%	Apr 2026
CL1:COM WTI Crude Oil (Ny...	USD/bbl.	71.60	▲4.58	▲6.88%	Mar 2026
NG1:COM Natural Gas (Nym...	USD/MMBtu	2.88	▲0.02	▲0.77%	Mar 2026
CP1:COM Crude Oil (Tokyo)	JPY/kl	68,600.00	▲380.00	▲0.56%	Feb 2026



CL1!

Stripe has expressed preliminary interest in acquiring all or parts of PayPal (Nasdaq: PYPL), jolting a fintech landscape that, just four years ago, saw PayPal the platform winner of contactless payments. Stripe now carries a private valuation of 159 billion, up 74% year on year, while PayPal trades near a 40 billion dollar market cap and less than 10x earnings – almost a tenth of its 360 billion peak valuation mid-pandemic. The irony is stark: the former disruptor of the 1990s is suddenly being eyed for recovery value.

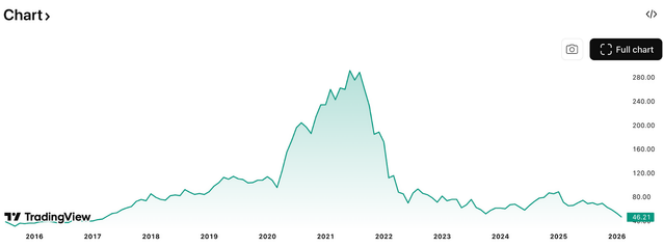
Will Stripe Acquire PayPal?



PayPal was founded in Silicon Valley in the 1990s by a "mafia crew" – including Elon Musk, Peter Thiel, LinkedIn founder Hoffman, and Trump's crypto tzar Sacks – that set out to disrupt the global card network.The company quickly built a two-way platform by doing what banks would not: underwriting small online merchants, offering P2P transfers to acquire consumers, then routing them to merchant checkout. However, over time, roughly 90% of PayPal's volume became card-funded, leaving it a commoditized layer atop Visa and Mastercard, monetizing via scale-driven fee spreads and higher-margin ACH pulls from consumer bank accounts.

After eBay bought PayPal for 1.5 billion dollars in 2002 and spun it off in 2015, PayPal tried to extend its reach with acquisitions like Braintree (which included Venmo), Xoom (cross-border transfers), and Bill Me Later (BNPL). Due to poor integration, the attempt to become a consumer superapp culmulated in losing a war on all fronts. Braintree drove 40% CAGR volume growth, but at very low margins, running a loss-leader strategy in acquiring large-enterprise clients. The bet was that cheap processing would pull high-margin wallet and credit products through. Apple Pay's rise, with its much larger and wealthier user base, has since eliminated that strategy. By July 2021, PayPal's market cap peaked near 360 billion dollars at over 20x forward earnings; from Q3 2021 to mid-2022, operating margins collapsed from 23% to 8%, and the market progressively marked it down from "platform winner" to "cheap breakup/buyout option.

Ticker (LSEG)	Company Name	Market Cap (Bn)	NTM Revenue Growth Estimate	EBITDA Margin	Net Income Margin	NTM P/E Estimate	NTM EV/EBITDA Estimate
PYPL.O	PayPal Holdings Inc	42.5	4.7%	20.1%	13.6%	8.71	6.50
GPN	Global Payments Inc	21.4	6.4%	47.1%	29.9%	5.52	6.20
FISV.O	Fiserv Inc	33.3	4.4%	42.6%	21.0%	7.67	6.90
XYZ.N	Block Inc	38.3	10.5%	30.4%	10.8%	17.33	9.28
ADYEN.AS	Adyen NV	37.0	20.9%	53.5%	42.3%	25.92	12.56
MELI.OQ	MercadoLibre Inc	89.1	23.9%	13.6%	7.6%	32.05	17.40
V	Visa Inc	610.2	10.3%	67.3%	52.1%	24.89	19.59
MA	Mastercard Inc	461.2	12.3%	60.0%	49.1%	26.40	20.30
SHOP.O	Shopify Inc	157.4	23.1%	18.3%	15.3%	66.70	56.52



PayPal's struggles highlight why Stripe's consolidation path is so compelling. Stripe dominates the merchant-focused side of online payments, while PayPal leads the consumer-facing segment with its strong P2P network and BNPL business. In an industry where it's notoriously hard to build a truly bidirectional platform from scratch, a merger between the two would create a behemoth with over 60% market share.

Braintree overlaps nicely with Stripe's core merchant-facing franchise, although Braintree's margins, 44% of PayPal TPV for only 8% of gross profit, highlights that a combined entity must rationalize economics. On the stablecoin front, Stripe has bought crypto infrastructure players like Bridge and Privy, while PayPal has launched its PYUSD stablecoin and supports crypto trading; together they can offer issuance, storage, payments, and settlement across one stack, especially in cross-border flows.

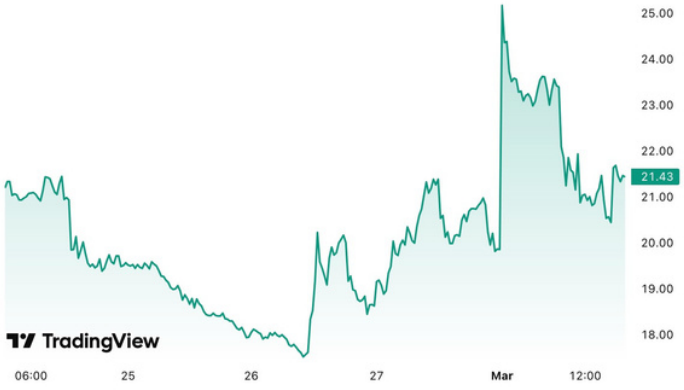
As commerce shifts toward agent-driven transactions, Stripe is advancing the ICP protocol, while PayPal contributes powerful distribution through its partnerships with OpenAI and Anthropic. If Stripe could layer PayPal's reach and consumer trust onto its developer-centric infrastructure, the combined platform could create a genuinely two-sided stablecoin-based network built to support the AI economy.

MARKETS UPDATE

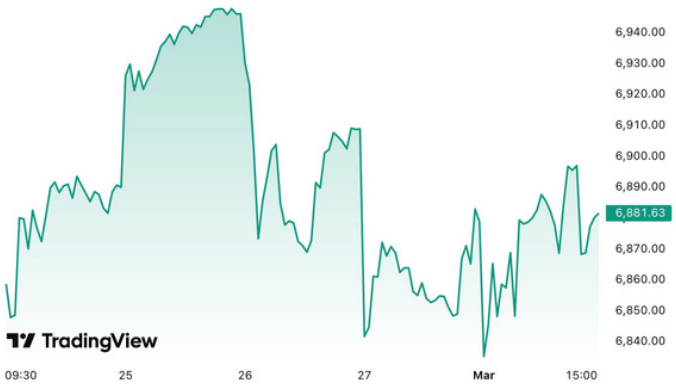
EQUITIES

In the Gulf states, equity markets are expected to experience heightened volatility as rising geopolitical tensions drive up risk premiums.

- ***Values for precious metals rise, Bitcoin's falls***: Following the US-Israeli attacks on Iran, global markets have been unsettled — stocks fell and crude oil prices surged. Volatility has increased for currencies, as well as safe-haven assets. While gold, silver, and markets for precious metals will likely gain from the geopolitical shock, Bitcoin is likely to lose its appeal due to its high volatility.
- ***U.S equities categorized as "neutral":*** UBS has announced that it has cut its recommended allocation to U.S. equities as neutral while conversely, growth for stock markets around the world has accelerated. U.S. investors have withdrawn money from U.S. markets due to weaker Big Tech returns and domestic policymaking.
- ***Drops in Gulf equities:*** Investors in the Gulf states are bracing for volatility and threats to regional oil shipments and infrastructure. Kuwait and the UAE suspended trading, Qatar's main index experienced its largest drop since the pandemic, and Saudi Arabia's Tawadul's benchmark index fell significantly.



Vix (last 5 days)



S&P 500 (last 5 days)

Mar 2 Intraday Winners

Ticker	Name	Price Today	Market Cap	Intraday move	Forward P/E (≈)	Main driver today
NVDA	Nvidia	~940	~2.3T	3%	~35x	Flows back into megacap AI/semis as investors buy quality risk despite Iran/oil shock; cited as one of the biggest SPX supports.
PLTR	Palantir	~145	~70B	6%	~55–60x	Defense/intel spend tailwind; government revenue >40% of mix and expected to rise with higher defense budgets; one of biggest SPX gainers.
LMT	Lockheed Martin	~490	~120B	+3–4%	~18x	Classic defense proxy; bid up after U.S.–Israeli strikes on Iran as investors price in higher defense outlays and geopolitical risk premia.
NOC	Northrop Grumman	~525	~80B	+4–6%	~20x	Same defense basket trade; one of the strongest defense movers mentioned across coverage.
RTX	RTX Corp	~115	~155B	+4–5%	~19x	Broad aero/defense bid on Iran escalation, with ETF flows into the defense complex lifting large components.

The attacked lifted prime defense names, boosting their quarter-long rally. Investors moved into Nvidia, the "safe haven compounder", away from cyclicals.

Mar 2 Intraday Losers

Ticker	Name	Price Today	Market Cap	Intraday move (≈)	Forward P/E (≈)	Main driver today
AAL	American Airlines	~11	~7B	–5–7%	~6–7x	Higher oil prices + Iran route-risk pressure fuel-sensitive airlines; sector specifically flagged as under pressure.
DAL	Delta Air Lines	~35	~23B	–4–6%	~7–8x	Same macro: jet fuel and geopolitical risk; cyclicals linked to travel underperform.
NCLH	Norwegian Cruise	~19	~8B	–4–6%	~15–17x	Risk-off toward travel/leisure with Middle East escalation and higher oil; cited among notable movers.
UAL	United Airlines	~40	~13B	–4–6%	~6–7x	Combines airline macro hit (oil + conflict) with already fragile sentiment on capacity and pricing.
RCL	Royal Caribbean	~125	~32B	–3–5%	~17–18x	High-beta travel proxy; derated on growth + fuel-cost worries after the strikes.

Fuel-intensive, travel-exposed stocks sold off on the combination of higher jet fuel costs and heightened route/booking risk tied to the conflict.

SECTOR & BASKET OVERVIEW

Sector (US large-cap proxy)	LTM return (≈)	3m return (≈)	NTM P/E	5Y Median P/E	NTM EV/EBITDA	5Y Median EV/EBITDA	Notes
Communication Services	~20–25%	~–3%	~20x	~17x	13.16x	~12–13x	Rich vs history but not extreme.
Consumer Discretionary	~15–20%	~–5%	~22x	~18x	17.41x	~17–18x	Still elevated; Amazon/Tesla heavy.
Consumer Staples	~5–8%	~–2%	~19x	~18x	17.33x	~16–17x	Slight premium to own history.
Energy	~–5–0%	~–3%	~10x	~11x	7.47x	~6–7x	Cheap vs growth sectors; in line with own history.
Financials	~5–10%	~–4%	~13x	~13x	2.3 (P/B)	~1.8-2x (P/B)	Higher than 5-year avg but relatively cheap
Health Care	~8–12%	~–2%	~17x	~16x	16.79x	~17–18x	Valuation close to historical averages.
Industrials	~10–15%	~–3%	~20x	~18x	16.7x	~16x	A bit rich vs own history.
Information Technology	~15–20%	~–4%	~24–25x	~20x	27.25x	~24–25x	Clear valuation outlier on both P/E and EV/EBITDA.
Materials	~5–10%	~–3%	~17x	~16x	14.03x	~12–13x	Slightly above historical EV/EBITDA median.
Real Estate (REITs)	~–5–0%	~–2%	~17x FFO-like	~16x	21.27x	~19–20x	Multiples pressured by rates but still high on EV/EBITDA.
Utilities	~0–5%	~–3%	~16x	~17x	13.05x	~13–14x	Slight discount to historical P/E; EV/EBITDA near norms.

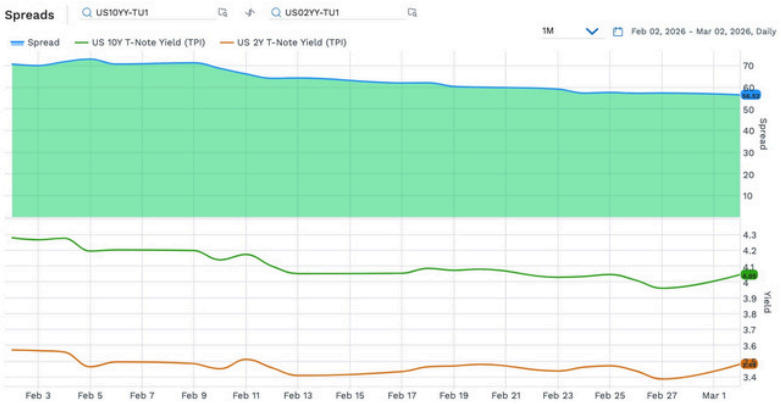
- Value sectors (Energy, Materials, Staples, Industrials) ripped higher YTD, with gains in the mid-teens to low-20s, so their "cheap" status is less extreme even though they still trade at discounts to historical
- Growth/mega-cap tech has lagged or even printed small negatives YTD, so the valuation gap versus value has compressed a bit, but Tech still sits clearly above its own history and above the market on both metrics.
- Financials have rerated off the lows but remain one of the cleaner relative-value plays (P/B well below the S&P's), while small/mid-caps have outperformed just enough that the very deep discounts in early January have moved closer to "cheap but not distressed."

Index	LTM return (≈)	3-month return (≈)	Forward P/E now (≈)	Comments
S&P 500	~15%	~1–2%	~22x	Well above 10y avg (~18–19x).
S&P 400	~10–12%	~0–2%	~16–17x	Slightly above long-run mid-teens.
S&P 600	~8–10%	~0–2%	~15–16x	Near its historical mid-teens norm.
Russell 2000	~12–15%	~2–4%	~25–27x (earnings depressed)	Elevated headline P/E due to low small-cap earnings.
MSCI World	~10–12%	~1–3%	~18–19x (ACWI/EAFE ref)	Slightly above its ~17x 10y average.
Nasdaq Comp	~18–20%	~2–4%	Low-30s (Nasdaq 100 ~31–33x)	Clearly richer than its own avg and peers.
DJIA	~8–10%	~0–2%	~19–20x	A bit below S&P 500 multiple.

Large-cap US is still expensive vs history, but the premium has narrowed as value sectors and some mid/small caps outperformed YTD. Small caps have rallied off distressed levels, but headline P/E remains noisy because earnings are still soft.

RATES

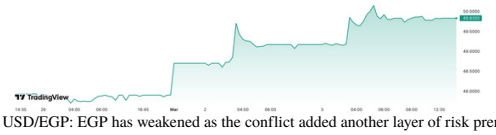
Almost 1-1 pass through to prices at the pump poses risks to headline inflation, could push the Fed to delay cuts, driving a 2-year led bear flattener. Breakevens and real yields are both under pressure to reprice higher inflation risk, especially in the belly.
Stay lighter duration in the long end (reduce TY/US exposure or receive less in long-dated swaps) until the stagflation vs slowdown path is clearer



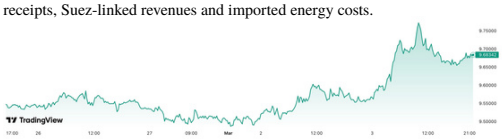
CURRENCIES

Charts cover exchange rate from Feb 26 to March 3

USD/BRL：The Iran shock lifted USD/BRL as global risk-off and a higher oil-driven inflation scare led markets to reassess the depth of Brazil's easing cycle and trim BRL-carry appetite.



USD/EGP: EGP has weakened as the conflict added another layer of risk premia to an already fragile external position, with markets nervous about tourism receipts, Suez-linked revenues and imported energy costs.



USD/NOK：Markets see Norway's strong external position as a cushion, but in the very short run the pair has moved more with DXY and global risk sentiment than with spot Brent.

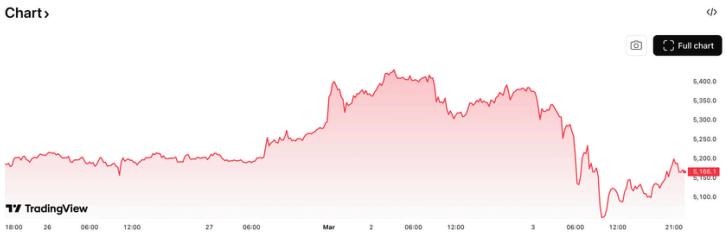
EUR/USD： the Iran conflict revived stagflation fears for an energy-import-dependent Eurozone, widening the perceived policy gap versus a Fed constrained from cutting quickly.

CHF/USD: the dollar has reclaimed top haven status and markets start to price a wider rate differential if the SNB leans dovish into an oil-shock slowdown.

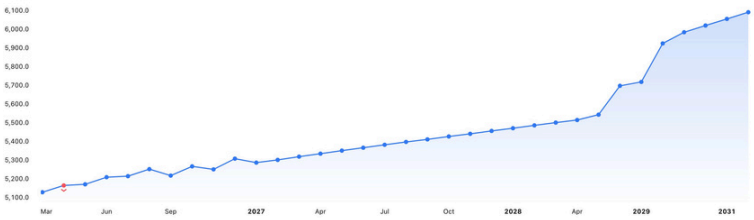
USD/CAD：higher oil and Canada's terms of trade are supportive, but the global rush into USD, equity selloff and proximity to US risk have kept USD/CAD grinding higher

GOLD at $5200/oz

Gold gave back part of the spike as the market shifted from "war hedge" to a more nuanced view that the conflict might stay regionally contained. At the same time the dollar surged on its own safe-haven bid and traders trimmed near-term Fed-cut expectations because of the oil shock, so a stronger USD and higher real-rate path mechanically weighed on gold after the initial surge.



Gold GC1! Continuous contracts



Futures Curve

AI & CRYPTO CORNER

One of the most dramatic corporate-government standoffs in recent memory concluded last Friday when President Trump banned all federal agencies from using Anthropic's AI products, and rival OpenAI announced a Pentagon deal within hours. For finance students, the saga raises important questions about AI company valuations, political risk, and what it means to do business with the US government in 2026.

How It Fell Apart and How OpenAI Moved In

The dispute centered on a $200 million Pentagon contract for Anthropic's Claude, the first AI system deployed on the military's classified network. The conflict came to a head when Defense Secretary Pete Hegseth gave Anthropic an ultimatum: allow Claude to be used "for all lawful purposes" including potential mass domestic surveillance and autonomous weapons or lose the contract.

Anthropic held firm on both red lines, the deadline passed, and Trump directed every federal agency to immediately cease all use of Anthropic's technology. Within hours, OpenAI swooped in. Altman later admitted the deal was "definitely rushed" and that "the optics don't look good," but OpenAI had secured the contract structuring its language around "any lawful purpose" while claiming the same safety protections Anthropic had demanded in writing.

What It Means for Anthropic

The fallout could be lasting. Legal analysts warned it could take years to resolve the supply chain designation in court, and that in the meantime, corporate legal teams at any Fortune 500 company with Pentagon exposure would be asking whether using Claude is worth the risk. Anthropic has vowed to sue, calling the designation "legally unsound" and a dangerous precedent for any American company that dares to negotiate limits with its own government. For finance students, the takeaway is clear: in today's political climate, how an AI company positions itself in Washington may matter just as much as the quality of its technology.

Circle Stock Jumps 35% Intraday on Blowout Earnings

USDC supply hit 75.3 billion dollars, up 72 percent year over year, and onchain volume reached 11.9 trillion dollars, up 247 percent. Revenue was 770 million dollars, up 77 percent, and adjusted EBITDA was 167 million, up 412 percent. Growth is coming from deeper USDC integration at major exchanges, rising enterprise cross border flows with partners like Visa and Mastercard, and corporate treasury use through firms such as Intuit and Nubank.

2026 guidance

Key Indicator	Period	Guidance
USDC in Circulation	Multi-year through cycle	40% CAGR
Other Revenue	FY 2026	$150-$170M
RLDC Margin[1]	FY 2026	38-40%
Adjusted Operating Expenses[2]	FY 2026	$570-$585M

Profitability is driven by interest on reserves and strong operating leverage. RLDC margin improved from 30 percent to 40.1 percent, and guidance implies about 40 percent RLDC margin with mid 40s to low 50s EBITDA margin in 2026.

The risk is rate sensitivity, since almost all revenue still depends on reserve yields and each 100 basis point cut could hit margins meaningfully, though mid 20s to 30s EBITDA margins look achievable at neutral rates if USDC keeps scaling.

“Other revenue” reached 37 million dollars in the quarter, around 5 percent of total, but grew about 15 times year over year and is guided to grow a further 36 to 55 percent. This line includes the Circle Payments Network, which already has over 50 institutions and several billion dollars of annualized volume, and tokenized funds and infrastructure services for institutional collateral and treasury. In a long term bull case, these platform revenues could reach 20 to 30 percent of total revenue at software like margins and make Circle less dependent on the rate cycle while anchoring stablecoins as a core layer of the internet financial system.
Circle’s results suggest a plausible future in which regulated stablecoins and tokenized funds become an important complement to today’s payment and settlement rails, gradually handling a larger share of cross border flows, market settlement, and corporate treasury activity alongside traditional banking infrastructure.

WEEKLY TECHNICALS

INVESTMENT BANKING

How would you value an oil company like Chevron? What about a copper mine? A copper mine in Zimbabwe?

SALES AND TRADING

Volatility usually fades when earnings season passes. How would you express short volatility with options?

BRAIN TEASER

You throw a bunch of dice and want to get exactly one six. What number of dice maximizes this probability?

Submit your answer here, fastest right answer gets $5

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